NVIDIA Corporation (NVDA)

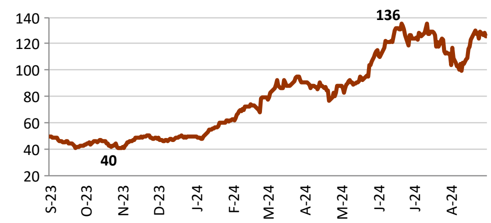
Strong 2025 in Sight, but Thresholds Needed for Stock to Work Again

For the stock to escape a likely trading range pattern near term, investors will need to see a succesful resolution to the GB200 redesign and subsequent ramp driving a reacceleration in revenue comps. The steep ramp we see for AWS's Trainium3 next year could raise questions yet is not expected to impact very strong CSP demand and RFQ activity for GB200. While GB200 delay reduces upside in DC revenue this year versus expectations, 2025 should be another very strong year for Nvidia. Outperform-rated

- **GB200 will represent a key driver for the stock in 2025**. The combination of key design wins (Microsoft, AWS, Meta), very strong RFQ activity, along with strong demand for AI fueled by new use cases, support a continued steep DC revenue ramp for next year.
  - We believe Nvidia will delay the ramp of B100/B200 in order to prioritize the highest-performance/margin GB200, which could be incremental to our current unit forecast.
- **Factors muddling the picture near term**: Investors will need to see a successful conclusion to the one-layer redesign addressing a thermal and yield issue with GB200 on track for a Jan 2025 launch, along with a successful volume ramp afterwards.
  - B200A ramp (50-70% higher performance than H100) should provide a partial offset to the GB200 delay, supporting the reacceleration in sequential revenue growth in F4Q embedded in our forecast.
- **Competitive dynamics should remain muted** as GB200 performance exceeds anything else on the market. We note a sharp slowdown in the expected growth of Google's TPU in 2025, along with a sharp expected ramp of AWS's Trainium 3/ Inferentia volumes notably driven by an OpenAI competitor, in our view, a dynamic which will not impact CSP demand for GB200.
- **Reiterating Outperform rating.** New price target is $150.

RAISING PRICE TARGET

1-Year Price Chart



Stock Data

Rating:	Outperform
Suitability:	Higher Risk
Price Target/Previous:	▲$150/$120
Price (8/29/24):	$125.61
Market Cap (mil):	$3,126,433
Shares Out (mil):	24,890.0
Average Daily Vol (mil):	360.80
Dividend Yield:	0.1%

Estimates

FY Jan	2024A	2025E	2026E
Q1	0.11 A	0.61 A	0.97 E
Q2	0.27 A	0.68 E	1.04 E
Q3	0.40 A	0.72 E	1.10 E
Q4	0.52 A	0.84 E	1.20 E
Fiscal EPS	**1.30 A**	**2.85 E**	**4.30 E**
Previous Est	--	2.70E	4.00E
Fiscal P/E	96.6x	44.1x	29.2x

Chart/Table Sources: FactSet and Baird Data. Price chart reflects most recent closing price.

EPS (Net): EPS estimates are Pro Forma ex. SBC

Please refer to Appendix - Important Disclosures and Analyst Certification

Nvidia is a leading graphics processing chip and software designer, with products used in gaming, data center, automotive, and cryptocurrency markets.

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Details

Valuation. Our new $150 price target, up from $120, is based on NVDA shares trading at 30x our FY2027 (C2026) PF EPS estimate ex stock expense of $5.00. This multiple is above the high end of peers' range P/E (11x-25x), due to Nvidia's strong and unchallenged positioning in AI datacenter markets, ongoing share gains, strong new product roadmap and software ecosystem, and lack of relevant competition for the medium term.

Investment Thesis

AI momentum continues unabated as the return on AI investments is high. We continue to model $103B in DC revenue for this year, based on a 4.7M GPU shipment assumption, and a 6M+ GPU unit forecast for F2026. Demand continues unabated for Hopper while Blackwell availability should more than double at launch vs. Hopper. Nvidia expects a strong cadence of new networking products including Spectrum-X Ethernet. Gross margin outlook in the mid-70%s for the rest of the year reflects immature cost curves on initial new product ramp. Outperform-rated

ESG Considerations

Nvidia enables increasingly prevalent accelerated computing in data center with a favorable power envelope relative to the multiple CPUs its solutions can replace. Nvidia's GPUs are 40x more energy efficient than traditional CPU servers for AI. Virtual 3D reality, AI computing, autonomous driving are some of the key, secular growth opportunities which Nvidia's solutions are enabling and which are poised to generate environmental savings.

Risks & Caveats

Intense competition. Nvidia faces competition from a wide range of processor companies such as AMD, Intel, Ambarella, Broadcom, Qualcomm, Renesas, and Samsung, as well as internet companies designing chips internally. Failure of Nvidia's products to successfully compete in a variety of end markets could lead to revenue and margin declines.

End market concentration. Nvidia derived 78% of its revenues from gaming and 17% of revenues from gaming in F2024. Negative trends in these end markets would impact the company's fundamentals.

Fabless business model. As a fabless company, Nvidia is dependent on a limited set of third parties such as TSMC and Samsung to manufacture its products. Any changes in manufacturing yields or supply chain issues from these partners would harm Nvidia. Additionally, issues with testing/packaging from subcontractors would be damaging.

Geographic exposure. Nvidia is a global company with exposure to multiple regions, notably with ~17% of revenue in F2024 attributed to billings from China. The reach of the company increases the probability of a given region negatively impacting operations.

Company Description

NVIDIA Corporation was founded in 1993 by Jen-Hsun Huang, Chris Malachowsky, and Curtis Priem, and has been publicly traded since 1999. The company is headquartered in Santa Clara, California and is attributed with the invention of the GPU in 1999 with the launch of GeForce 256. Initially focusing on PC graphics, today Nvidia develops both GPUs and single-chip integrated GPUs with multi-core CPUs (Tegra). Its products span across several end markets such as gaming, professional visualization, the datacenter, and the automotive market with applications including high-performance computing, virtual reality, and AI. The company is fabless and has about 19,000 employees, with roughly 70% dedicated to research and development. Competitors include AMD, Intel, Ambarella, Broadcom, Qualcomm, Renesas, and Samsung.

Nvidia — Annual Income Statement

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(Dollars in millions, except per-share data)

Fiscal Year Ended January	F2018	F2019	F2020	F2021	F2022	F2023	F2024	F2025E	F2026E	F2027E	F2028E
Total Sales	**9,714**	**11,716**	**10,918**	**16,675**	**26,914**	**26,974**	**60,922**	**127,068**	**182,781**	**212,026**	**239,165**
Cost Of Goods Sold	3,892	4,545	4,150	6,279	9,440	11,618	16,621	31,622	45,337	48,766	55,008
Gross profit	**5,822**	**7,171**	**6,768**	**10,396**	**17,474**	**15,356**	**44,301**	**95,446**	**137,444**	**163,260**	**184,157**
Research and Development	1,797	2,376	2,829	3,924	5,267	7,338	8,674	13,133	17,618	23,432	28,118
Sales, General and Administrative	815	991	1,093	1,940	2,166	2,440	2,655	3,403	3,440	3,715	3,953
Restructuring and other charges	-	-	-	-	-	1,353	-	-	-		
Total Operating Expenses	2,612	3,367	3,922	5,864	7,433	11,131	11,329	16,535	21,058	27,147	32,071
Operating Income	**3,210**	**3,804**	**2,846**	**4,532**	**10,041**	**4,225**	**32,972**	**78,910**	**116,386**	**136,113**	**152,086**
Interest income	69	136	178	57	28	267	865	1,633	2,000	2,000	2,000
Interest expense	(61)	(58)	(52)	(185)	(236)	(263)	(257)	(235)	(200)	(200)	(200)
Other income (expense), net	(22)	14	(2)	4	108	(47)	238	642	-		
Pretax Income	**3,196**	**3,896**	**2,970**	**4,409**	**9,941**	**4,182**	**33,818**	**80,950**	**118,186**	**137,913**	**153,886**
Income tax expense	149	(245)	174	77	188	(186)	4,059	12,571	20,092	23,445	26,161
Net Income	**3,047**	**4,141**	**2,796**	**4,332**	**9,753**	**4,368**	**29,759**	**68,379**	**98,095**	**114,468**	**127,725**
GAAP EPS	**0.12**	**0.17**	**0.11**	**0.17**	**0.38**	**0.17**	**1.19**	**2.75**	**3.91**	**4.52**	**4.99**
Shares Outstanding—Basic	11,960	24,320	24,360	24,680	24,950	24,873	24,693	24,681	25,136		
Shares Outstanding—Diluted	25,280	25,000	24,720	25,120	25,358	25,073	24,933	24,859	25,096	25,347	25,601
Cash Dividend Per Share	0.01	0.02	0.02	0.02	0.02	0.02	0.02	0.03	0.04		
Payout Ratio	12%	9%	14%	9%	4%	9%	1%	1%	1%		
Pro Forma											
Gross Profit	5,844	7,233	6,821	10,947	17,968	15,965	44,958	96,145	138,384	164,320	185,277
Operating Expense	2,227	2,826	3,086	4,144	5,277	6,925	7,824	11,726	13,037	17,121	20,292
Operating Income	3,617	4,407	3,735	6,803	12,691	9,040	37,134	84,419	125,347	147,199	164,985
Net Income	**3,085**	**4,143**	**3,580**	**6,277**	**11,259**	**8,365**	**32,312**	**70,917**	**107,055**	**125,554**	**140,624**
EPS incl. SBC	0.11	0.14	0.11	0.19	0.36	0.23	1.15	2.65	3.96	4.57	5.02
EPS ex. SBC	**0.12**	**0.17**	**0.14**	**0.25**	**0.44**	**0.33**	**1.30**	**2.85**	**4.30**	**5.00**	**5.50**
Diluted Shares	25,080	24,960	24,720	25,120	25,358	25,073	24,933	24,890	24,890	25,131	25,559
As a % of Sales											
Gross Margin	59.9%	61.2%	62.0%	62.3%	64.9%	56.9%	72.7%	75.1%	75.2%	77.0%	77.0%
Pro Forma Gross Margin	60.2%	61.7%	62.5%	65.6%	66.8%	59.2%	73.8%	75.7%	75.7%	77.5%	77.5%
Research and Development	18.5%	20.3%	25.9%	23.5%	19.6%	27.2%	14.2%	10.3%	9.6%	11.1%	11.8%
Sales, General and Administrative	8.4%	8.5%	10.0%	11.6%	8.0%	9.0%	4.4%	2.7%	1.9%	1.8%	1.7%
Total Operating Expenses	26.9%	28.7%	35.9%	35.2%	27.6%	41.3%	18.6%	13.0%	11.5%	12.8%	13.4%
Operating Margin	33.0%	32.5%	26.1%	27.2%	37.3%	15.7%	54.1%	62.1%	63.7%	64.2%	63.6%
Pro Forma Operating Margin	37.2%	37.6%	34.2%	40.8%	47.2%	33.5%	61.0%	66.4%	68.6%	69.4%	69.0%
Tax Rate	4.7%	-6.3%	5.9%	1.7%	1.9%	-4.4%	12.0%	15.5%	17.0%	17.0%	17.0%
YoY % Change											
Sales	40.6%	20.6%	-6.8%	52.7%	61.4%	0.2%	125.9%	108.6%	43.8%	16.0%	12.8%
Gross Profit	43.3%	23.2%	-5.6%	53.6%	68.1%	-12.1%	188.5%	115.4%	44.0%	18.8%	12.8%
R&D Expense	22.8%	32.2%	19.1%	38.7%	34.2%	39.3%	18.2%	51.4%	34.2%	33.0%	20.0%
Total Operating Expenses	22.7%	28.9%	16.5%	49.5%	26.8%	49.8%	1.8%	46.0%	27.3%	28.9%	18.1%
Operating Profit	66.0%	18.5%	-25.2%	59.2%	121.6%	-57.9%	680.4%	139.3%	47.5%	16.9%	11.7%
Pro Forma Operating Profit	62.9%	21.8%	-15.2%	82.1%	86.6%	-28.8%	310.8%	127.3%	48.5%	17.4%	12.1%
GAAP Net Income	82.9%	35.9%	-32.5%	54.9%	125.1%	-55.2%	581.3%	129.8%	43.5%	16.7%	11.6%
Pro Forma Net Income	66.7%	34.3%	-13.6%	75.3%	79.4%	-25.7%	286.3%	119.5%	51.0%	17.3%	12.0%
GAAP EPS	-81.2%	37.4%	-31.7%	52.5%	123.0%	-54.7%	585.1%	130.5%	42.1%	15.5%	10.5%
Pro Forma EPS	-83.9%	34.9%	-12.8%	72.5%	77.7%	-24.9%	288.4%	119.9%	51.0%	16.2%	10.1%

Revenue CAGR F15-F25E:	**39%**
F20-F25E:	**63%**
PF EPS CAGR F15-F25E:	**23%**
F20-F25E:	**81%**

Last Updated: 8/29/2024
Source: Company reports and Baird estimates

Nvidia — Quarterly Income Statement
(Dollars in millions, except per-share data)

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	F2024				F2025E				F2026E			
Fiscal Year Ended January	**Q1-Apr**	**Q2-Jul**	**Q3-Oct**	**Q4-Jan**	**Q1-Apr**	**Q2-Jul**	**Q3E-Oct**	**Q4E-Jan**	**Q1E-Apr**	**Q2E-Jul**	**Q3E-Oct**	**Q4E-Jan**
Total Sales	**7,192**	**13,507**	**18,120**	**22,103**	**26,044**	**30,040**	**32,500**	**38,483**	**41,427**	**44,063**	**46,484**	**50,808**
Cost Of Goods Sold	2,544	4,045	4,720	5,312	5,638	7,466	8,320	10,198	10,564	10,839	11,435	12,499
Gross profit	4,648	9,462	13,400	16,791	20,406	22,574	24,180	28,285	30,863	33,223	35,049	38,309
Research and Development	1,875	2,040	2,294	2,465	2,720	3,090	3,430	3,893	4,088	4,292	4,507	4,732
Sales, General and Administrative	633	622	689	711	777	842	876	907	892	870	844	833
Restructuring and other charges	-	-	-	-	-	-	-	-	-	-	-	-
Total Operating Expenses	2,508	2,662	2,983	3,176	3,497	3,932	4,306	4,800	4,979	5,162	5,351	5,565
Operating Income	**2,140**	**6,800**	**10,417**	**13,615**	**16,909**	**18,642**	**19,874**	**23,485**	**25,884**	**28,061**	**29,698**	**32,744**
Interest income and other	150	187	234	294	359	444	410	420	500	500	500	500
Interest expense	(66)	(65)	(63)	(63)	(64)	(61)	(60)	(50)	(50)	(50)	(50)	(50)
Other income (expense), net	(15)	59	(66)	260	75	189	189	189				
Pretax Income	2,209	6,981	10,522	14,106	17,279	19,214	20,413	24,044	26,334	28,511	30,148	33,194
Provision (Benefit) For Income Taxes	166	793	1,279	1,821	2,398	2,615	3,470	4,088	4,477	4,847	5,125	5,643
Net Income	**2,043**	**6,188**	**9,243**	**12,285**	**14,881**	**16,599**	**16,943**	**19,957**	**21,857**	**23,664**	**25,023**	**27,551**
GAAP EPS	**0.08**	**0.25**	**0.37**	**0.49**	**0.60**	**0.67**	**0.68**	**0.80**	**0.87**	**0.94**	**1.00**	**1.10**
Shares Outstanding—Basic	24,700	24,730	24,680	24,660	24,620	24,578	24,701	24,824	24,949	25,073	25,199	25,325
Shares Outstanding—Diluted	24,900	24,990	24,940	24,900	24,890	24,848	24,848	24,848	25,096	25,096	25,096	25,096
Cash Dividend Per Share	0.00	0.00	0.00	0.00	0.00	0.01	0.01	0.01	0.01	0.01	0.01	0.01
Payout Ratio	4.9%	1.6%	1.1%	0.8%	0.7%	1.5%	1.5%	1.2%	1.1%	1.1%	1.0%	0.9%
Pro Forma												
Pro Forma COGS	2,390	3,893	4,537	5,144	5,484	7,311	8,125	10,003	10,329	10,604	11,200	12,264
Pro Forma Gross Margin	**4,802**	**9,614**	**13,583**	**16,959**	**20,560**	**22,729**	**24,375**	**28,480**	**31,098**	**33,458**	**35,284**	**38,544**
Pro Forma Operating Expense	1,750	1,838	2,026	2,210	2,501	2,792	2,970	3,463	2,974	3,157	3,345	3,560
Pro Forma Operating Income	**3,052**	**7,776**	**11,557**	**14,749**	**18,059**	**19,937**	**21,406**	**25,017**	**28,124**	**30,301**	**31,938**	**34,984**
Pro Forma Other Income/Expense Adjustm	14	(62)	69	(260)	(69)	(193)	(200)	(200)				
Pro Forma Interest Adjustment, debt disco	1	1	1	1	1	1						
Pro Forma Tax Adjustment	(257)	(363)	(433)	(321)	(725)	(750)	(385)	(450)				
Pro Forma Net Income	**2,713**	**6,740**	**10,020**	**12,839**	**15,238**	**16,952**	**17,889**	**20,838**	**24,097**	**25,904**	**27,263**	**29,791**
Pro Forma EPS incl. SBC	**0.08**	**0.24**	**0.36**	**0.48**	**0.57**	**0.63**	**0.66**	**0.78**	**0.88**	**0.96**	**1.01**	**1.11**
Pro Forma EPS ex. SBC	**0.11**	**0.27**	**0.40**	**0.52**	**0.61**	**0.68**	**0.72**	**0.84**	**0.97**	**1.04**	**1.10**	**1.20**
Pro Forma Diluted Shares	24,900	24,990	24,940	24,900	24,890	24,890	24,890	24,890	24,890	24,890	24,890	24,890
Margin Analysis												
Gross Margin	64.6%	70.1%	74.0%	76.0%	78.4%	75.1%	74.4%	73.5%	74.5%	75.4%	75.4%	75.4%
Pro Forma Gross Margin	66.8%	71.2%	75.0%	76.7%	78.9%	75.7%	75.0%	74.0%	75.1%	75.9%	75.9%	75.9%
Research and Development	26.1%	15.1%	12.7%	11.2%	10.4%	10.3%	10.6%	10.1%	9.9%	9.7%	9.7%	9.3%
Sales, General and Administrative	8.8%	4.6%	3.8%	3.2%	3.0%	2.8%	2.7%	2.4%	2.2%	2.0%	1.8%	1.6%
Total Operating Expenses	34.9%	19.7%	16.5%	14.4%	13.4%	13.1%	13.3%	12.5%	12.0%	11.7%	11.5%	11.0%
Total Pro Forma Operating Expenses	24.3%	13.6%	11.2%	10.0%	9.6%	9.3%	9.1%	9.0%	7.2%	7.2%	7.2%	7.0%
Operating Margin	29.8%	50.3%	57.5%	61.6%	64.9%	62.1%	61.1%	61.0%	62.5%	63.7%	63.9%	64.4%
Pro Forma Operating Margin	42.4%	57.6%	63.8%	66.7%	69.3%	66.4%	65.9%	65.0%	67.9%	68.8%	68.7%	68.9%
Tax Rate	7.5%	11.4%	12.2%	12.9%	13.9%	13.6%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%
Pro Forma Tax Rate	13.9%	14.9%	14.8%	14.5%	17.3%	16.9%	18.0%	18.1%	15.9%	16.0%	16.0%	16.1%
Seq. Growth Analysis												
Sales	18.9%	87.8%	34.2%	22.0%	17.8%	15.3%	8.2%	18.4%	7.6%	6.4%	5.5%	9.3%
Gross Profit	21.3%	103.6%	41.6%	25.3%	21.5%	10.6%	7.1%	17.0%	9.1%	7.6%	5.5%	9.3%
R&D Expense	-3.9%	8.8%	12.5%	7.5%	10.3%	13.6%	11.0%	13.5%	5.0%	5.0%	5.0%	5.0%
Total Operating Expenses	-2.6%	6.1%	12.1%	6.5%	10.1%	12.4%	9.5%	11.5%	3.7%	3.7%	3.7%	4.0%
Pro Forma Operating Expenses	-1.4%	5.0%	10.2%	9.1%	13.2%	11.6%	6.4%	16.6%	-14.1%	6.1%	6.0%	6.4%
Operating Income	70.2%	217.8%	53.2%	30.7%	24.2%	10.2%	6.6%	18.2%	10.2%	8.4%	5.8%	10.3%
Pro Forma Operating Income	37.2%	154.8%	48.6%	27.6%	22.4%	10.4%	7.4%	16.9%	12.4%	7.7%	5.4%	9.5%
Shares Outstanding - Diluted	0.5%	0.4%	-0.2%	-0.2%	0.0%	-0.2%	0.0%	0.0%	1.0%	0.0%	0.0%	0.0%
Pro Forma Diluted Shares	0.5%	0.4%	-0.2%	-0.2%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
YoY Growth Analysis												
Sales	-13.2%	101.5%	205.5%	265.3%	262.1%	122.4%	79.4%	74.1%	59.1%	46.7%	43.0%	32.0%
Gross Profit	-14.4%	224.6%	321.8%	338.1%	339.0%	138.6%	80.4%	68.5%	51.2%	47.2%	44.9%	35.4%
Operating Profit	14.6%	1262.7%	1633.3%	983.1%	690.1%	174.1%	90.8%	72.5%	53.1%	50.5%	49.4%	39.4%

Source: Company reports and Baird estimates

Nvidia — Revenue by Market Platform

(Dollars in millions, except per-share data)

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FY Ended Jan

Revenues	**F1Q25**	**F2Q25**	**F3Q25**	**F4Q25**	**F2025**	**F1Q26**	**F2Q26**	**F3Q26**	**F4Q26**	**F2025**
Gaming	2,647	2,880	3,312	3,643	12,482	3,825	4,017	4,418	4,639	16,899
Pro Visualization	427	454	477	477	1,834	477	501	526	526	2,028
Data Center	22,563	26,272	28,260	33,912	111,007	36,625	39,006	40,956	45,011	161,598
Compute	*19,392*	*22,604*								
Networking	*3,171*	*3,668*								
Automotive	329	346	363	363	1,402	400	440	484	532	1,855
OEM & IP	78	88	88	88	342	100	100	100	100	400
Total	**26,044**	**30,040**	**32,500**	**38,483**	**127,068**	**41,427**	**44,063**	**46,484**	**50,808**	**182,781**
% Chg QoQ										
Gaming	-8%	9%	15%	10%		5%	5%	10%	5%	
Pro Visualization	-8%	6%	5%	0%		0%	5%	5%	0%	
Data Center	23%	16%	8%	20%		8%	6%	5%	10%	
Compute	*29%*	*17%*								
Networking	*-5%*	*16%*								
Automotive	17%	5%	5%	0%		10%	10%	10%	10%	
OEM & IP	-13%	13%	0%	0%		14%	0%	0%	0%	
Total	**18%**	**15%**	**8%**	**18%**		**8%**	**6%**	**5%**	**9%**	
% Chg YoY										
Gaming	18%	16%	16%	27%	19%	45%	39%	33%	27%	35%
Pro Visualization	45%	20%	15%	3%	18%	12%	10%	10%	10%	11%
Data Center	427%	154%	95%	84%	134%	62%	48%	45%	33%	46%
Compute	*478%*	*162%*								
Networking	*242%*	*114%*								
Automotive	11%	37%	39%	29%	28%	21%	27%	33%	46%	32%
OEM & IP	1%	33%	21%	-2%	12%	28%	14%	14%	14%	17%
Total	**262%**	**122%**	**79%**	**74%**	**109%**	**59%**	**47%**	**43%**	**32%**	**44%**
As % Of Total Revenues										
Gaming	10%	10%	10%	9%	10%	9%	9%	10%	9%	9%
Pro Visualization	2%	2%	1%	1%	1%	1%	1%	1%	1%	1%
Data Center	87%	87%	87%	88%	87%	88%	89%	88%	89%	88%
Compute	*74%*	*75%*								
Networking	*12%*	*12%*								
Automotive	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
OEM & IP	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
Total	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%

Last Updated: 8/29/2024

Source: Company reports and Baird estimates

Appendix - Important Disclosures and Analyst Certification

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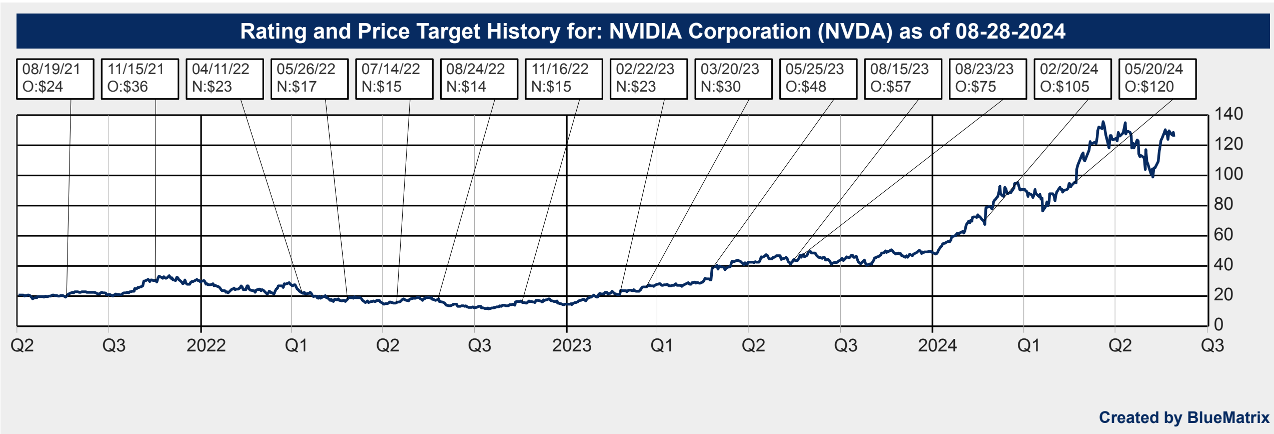

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